

Coca-Cola

CAGNY: Key Takeaways

We attended The Coca-Cola Company's (KO, OW-rated) presentation and Q&A at CAGNY today, in which CEO James Quincey and CFO John Murphy presented. The key takeaways were: (1) management remains confident in the momentum exiting 2023 to deliver at or above the top end of the top-line algorithm (+4-6% OSG), in particular driven by innovation around brand Coca-Cola as well as flavored CSDs (Sprite, Fanta & "Friends"), and the three other pillars: juice, value-added dairy & plant based, as well as water, sports drinks, and teas and ventures portfolio (coffee, emerging, energy) with room for further RGM opportunities; (2) Accelerate execution with integrated network that gives the company and its bottling system a "competitive edge"; (3) Initial 2024 EPS guidance leaves room for any adverse "surprises" that are out of the company's control, which management further clarified does not come from anything they are currently seeing or expecting. We think this approach is prudent and gives the company flexibility to continue to invest in capabilities in emerging regions and categories that currently carry lower margin. The EPS outlook does include the additional financial expenses from the escrow deposit expected to fund tax litigation appeal. Net-net, we remain confident in KO's ability to meet and potentially exceed its 2024 outlook and to continue its trajectory of an earnings compounder following a decade of stagnant EPS growth prior to 2018, very consistent to the earnings call and our model update note. The main value added from the presentation today included innovation and execution examples (as we elaborate below), increased confidence in expanding RGM as a continuum effort, as well as, KO's conviction in the growth in emerging markets in particular in India, where the company has end-to-end execution. Additionally, in response to a questions regarding M&A, management noted a "significant pivot" to ensure inorganic growth has a high probability of a scalable impact.

- **Long Runway to Achieve at/above LT +4-6% OSG with Balance of Volume (Non-Commercial Beverage Oppty) and Value (Developed Markets).** Management sounded confident in the sustainability of its stronger OSG performance over the past several years (albeit perhaps not to the level of +8% OSG CAGR over past 5 years). Generally the market has grown +3-4% or above since 1990 and looking ahead industry growth is expected to be c+4-5% with the LT outlook predicated on growing with the market and gaining share. Company discussed at length the long runway of growth ahead underpinned by the vast opportunity to convert non-commercial beverage consumption to packaged beverages in Developing & Emerging markets (>70% consumption non-commercial beverages in D&E markets vs. <15% in Developed Markets), which broadly is enabled by the level of economic development (i.e., KO plays a role in building a bigger market faster, but overall development more dictated by level of disposable income growth). As discussed in previous calls, the biggest opportunities near term remain in India and Africa. India is now KO's fifth largest market by volume and CEO Quincey noted that the market is beginning to hit the "S-curve" of development. KO is

Overweight

KO, KO US

Price (16 Feb 24):\$59.39

Beverage, Household & Personal Care Products

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investing heavily to build the physical infrastructure necessary to develop the market (e.g., half of all new KO system lines will be in India in next two years). In more Developed economies, management sounded confident in KO's ability to continue driving RGM with CFO Murphy likening the evolution of RGM to iterative versions versus an inning (i.e., does not have a finite end).

- **Highly Aligned Bottling Network (Shared Growth Ambition) Drives Execution and Competitive Edge.** Within the ultimate goal to become a truly asset-light model in which the company becomes the smallest bottler in the World. Besides the Philippines and recently Bangladesh, there are only two territories that The Coca-Cola Company (TCCC) aims to refranchise: India and Africa. To that end, management quoted India as an important area of strong growth, and the company continues to allocate a good part of capex and overall resources. Despite the size and scope of TCCC, there was impressive growth in reach more consumers (added +1.2M outlets, +10M households, +6M outlets digitized and 60+ new system production lines),
- **2024 EPS Guidance +4-5% Could Be Conservative, Levers to Continue Driving USD EPS Growth.** We got the sense that the assumptions underlying the +4-5% comparable EPS outlook for 2024 could be conservative (as it typical for initial guidance). As we discussed in our earnings review note, we see the high-end of +6-7% OSG as readily achievable ([link](#)) and management sounded as if the outlook built in some flexibility to unknown variables that may arise during the year given ongoing macro volatility (nothing that the company is currently aware beyond the current geopolitical headwinds). Moreover, with a bias toward investment, we believe company built in extra cushion to the outlook in order to have a growth mindset and not constrain ability to continue top-line momentum. Moreover, the company is budgeting a conservative estimate of potential timing (earliest would be end of June, but likely to extend further) and interest expense implications (note, we model for incremental \$6bn debt at ~5.5% rate) of expected cash outlay to fund IRS tax case appeal.
- **M&A Focused on Scalable Opportunities and Geographic Expansion.** Management noted that its focus from an M&A perspective now is more geared to opportunities that have a high probability of being scalable and also have potential for geographic expansion (i.e., relative to past inorganic initiatives that were appropriate for 1-2 markets) . To us that sounded like targets that are a bit more established and larger in existing categories. With respect to flavored alcohol (aggregate of brands \$1bn retail sales), management noted that among its existing portfolio Jack & Coke (in partnership with N-rated BF/B) has the greatest potential to scale globally, but ultimately it believes flavored alcoholic beverages will be a portfolio approach rather than relying on a single brand.

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
19-Apr-21	N	53.68	56
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66

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